

Buffett 3R One-Page Checklist

Right Business. Right Management. Right Price.

How to use: Check each statement only when you can support it with evidence. An unchecked box is a prompt for more research, not a reason to rush.

1. Right Business

- ☐ I can explain how the business makes money in plain language.
- ☐ I understand the products or services and who buys them.
- ☐ The business has a durable competitive advantage, or "moat."
- ☐ Demand is likely to remain relevant over a long time horizon.
- ☐ I have written down what could weaken this business or its moat.

2. Right Management

- ☐ Leadership communicates clearly about successes and setbacks.
- ☐ Management acts with integrity and considers long-term owners.
- ☐ Capital is allocated thoughtfully rather than for short-term appearances.
- ☐ Leadership decisions are consistent with the company's stated priorities.
- ☐ I have identified the evidence that would change my view of management.

3. Right Price

- ☐ I have estimated a reasonable value range rather than relying on market excitement.
- ☐ The purchase price allows a margin of safety against uncertainty or error.
- ☐ I compared price with business quality, financial strength, and future cash generation.
- ☐ I can explain why today's price is sensible for my family's time horizon.
- ☐ I am willing to wait if the business is attractive but the price is not.

Decision note: What still needs evidence before this idea moves forward?

This checklist is an educational thinking tool, not a recommendation to buy or sell any investment.